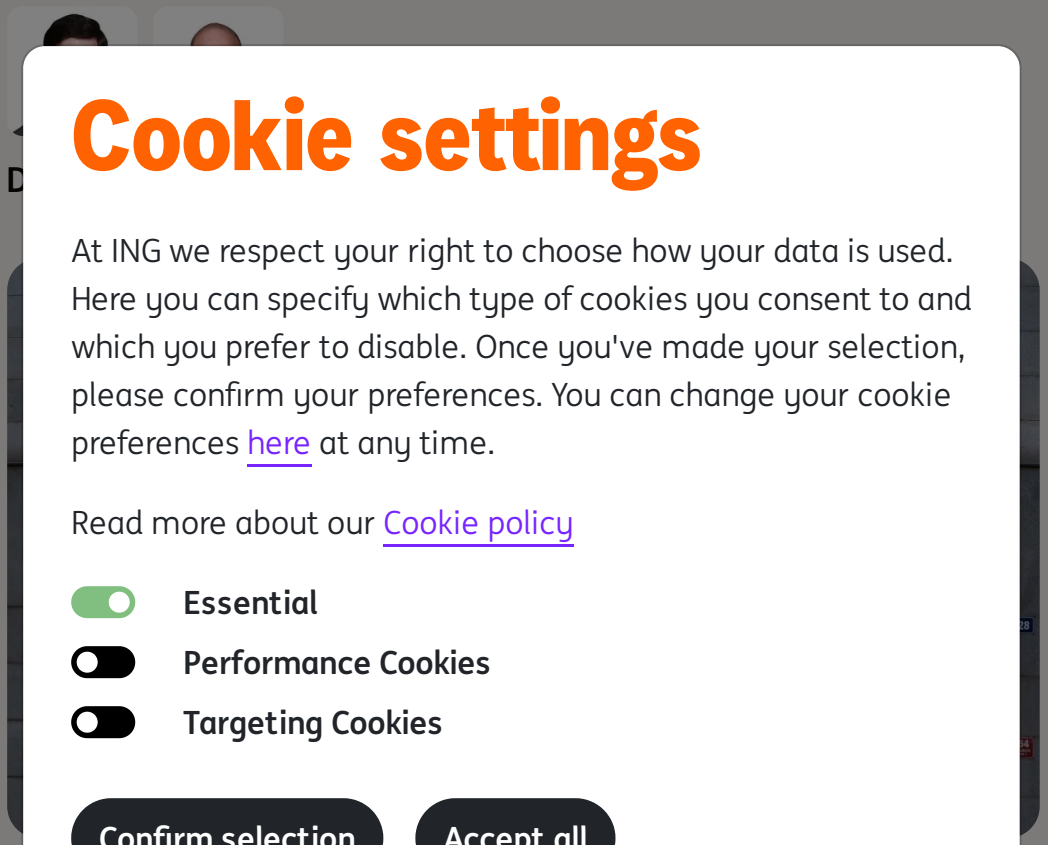
The CNB increased the policy rate to 4%, in line with market expectations. However, the decision was very close, a 4-3 split. The new CNB forecast is revised toward a punchier inflation amid a softer economic expansion, implying a higher rates trajectory. We see 4% as the new normal, while further hikes will be restrained by dwindling economic activity



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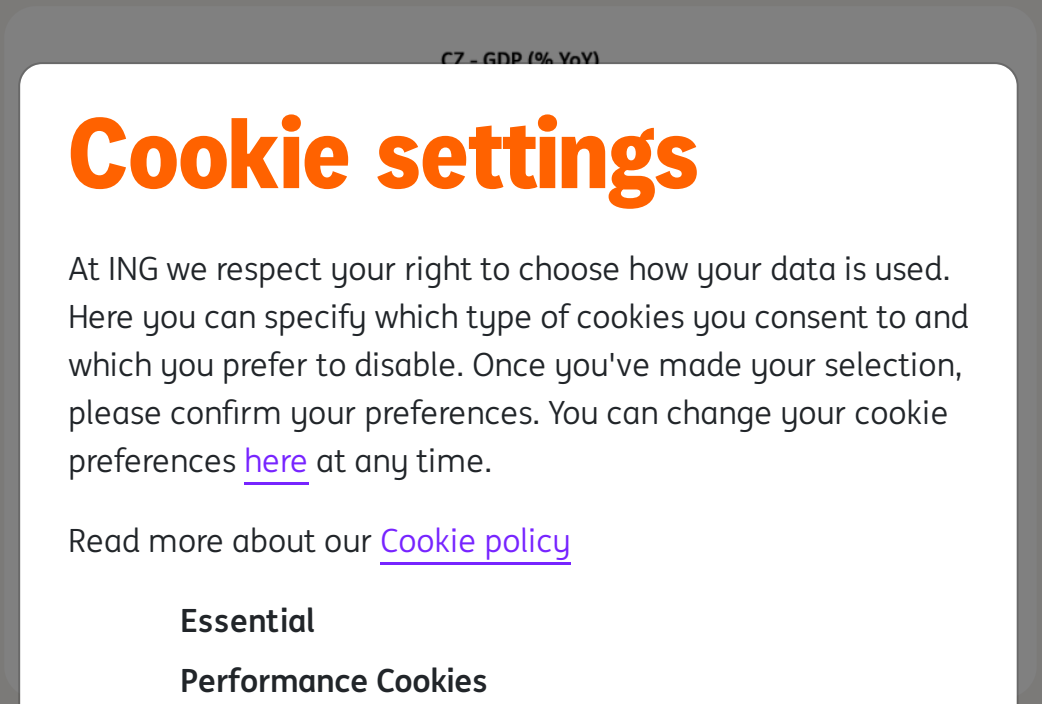
Accept all

Punchier inflation amid mediocre economic performance

The CNB proceeded with a rate hike on Thursday, raising the base rate to 4%, which matches the expectations of market participants. The decision was taken in a split vote as four board members favoured a tighter monetary policy setup, while three policymakers opted for rate stability. The situation is perceived as inflationary, with persistently elevated core inflation, weaker exchange rate, and a still strong housing market, along with ample credit growth, seen

as the main forces to keep in check through a tighter monetary policy stance. Robust wage growth and expansive fiscal policy are also assessed as risks to price stability. The decision and the mood of the press conference are in line with our expectations in both respects: i) one rate rise in November, and ii) concerns about economic performance putting a lid on further tightening.

CNB's real GDP path remains on the optimistic side



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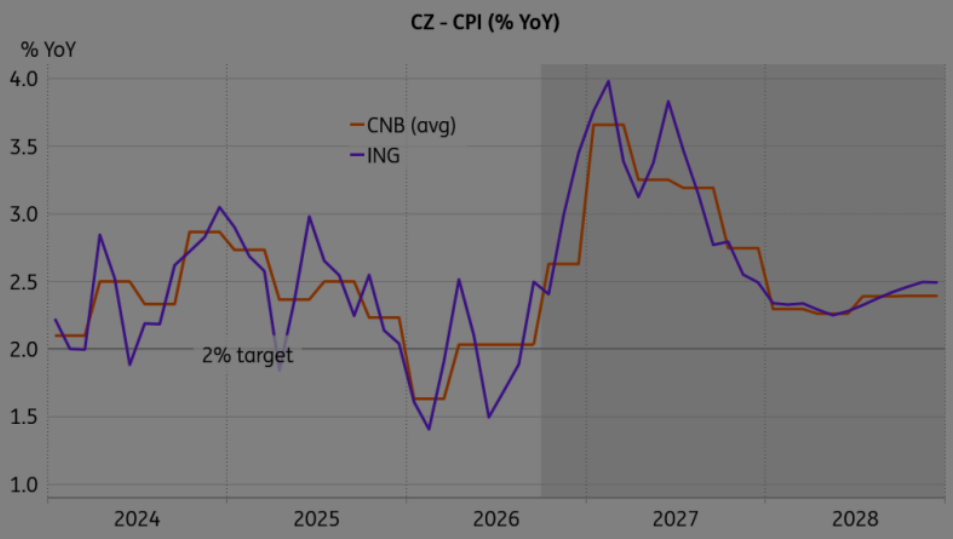
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close to ING's view throughout the forecast horizon. Meanwhile, the CNB growth outlook remains a little optimistic compared with our view, especially for the coming year. As for short-term interest rate, the CNB forecast suggests a further increase up to 4.5% in the nearest future, followed by a gradual decline from 2Q27 to 3.5% at the end of 2028. We see such a trajectory rather as an alternative scenario, should inflation prove even stronger than in our forecast.

Forecast marriage in inflation



Source: CNB, ING, Macrobond

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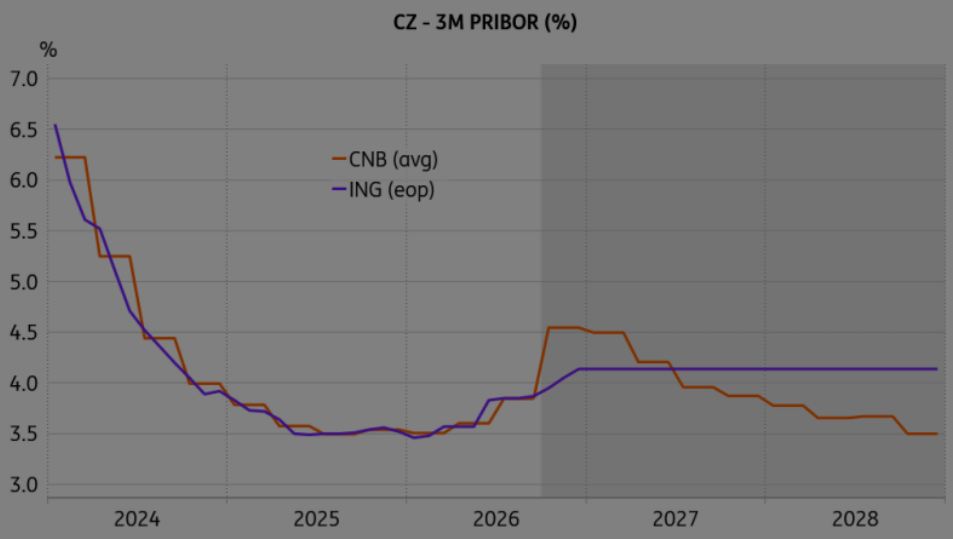
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swiftly, while having inflation still running above your target and the economy growing around its potential? I have some doubts, but will stick to the old good maxim *in dubio pro reo*.

The bank board will likely smooth out the rates path



Source: CNB, ING, Macrobond

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onset of the US-Iran conflict, the CNB's forecast aligns closely with market pricing, with the PRIBOR rate peaking at around 4.55%. However, inflation is expected to worsen over the remainder of the year, approaching 3% and nearing 4% in the first quarter of 2027, bringing the new CNB outlook closer to our own forecast. We do not believe the current shift in energy prices justifies such a rally in CZK rates. The move appears excessive at this juncture. Consequently, we view two additional rate hikes as the minimum the market will

tolerate, and, given today's rebound, we anticipate a hawkish repricing.

EUR/CZK is facing renewed upward pressure. Indeed, if we take the shift in rate differentials at face value, the rates point toward 24.450. However, as previously noted, rates are likely to correct, as the current rate differential is too tight. Furthermore, the koruna benefits from strong seasonal support in November and December, which should help temper the current weakening pressure following the dovish CNB meeting. We therefore anticipate a new range of 24.350–24.400, little changed from our pre-meeting expectations.

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